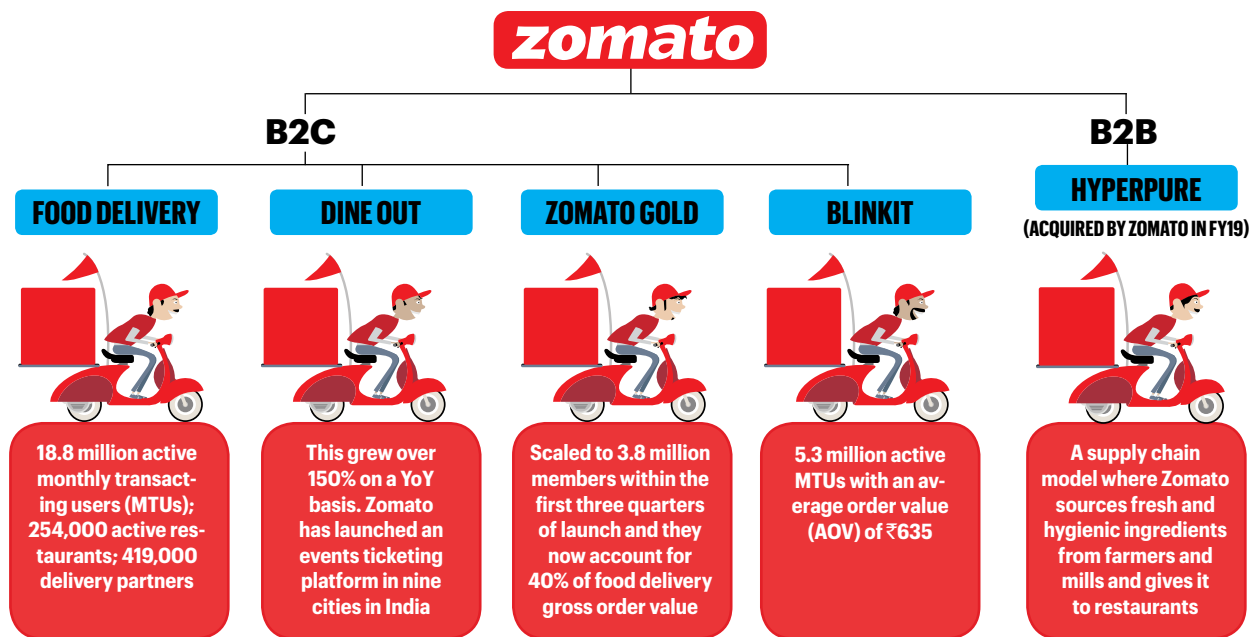


ZOMATO'S BUSINESS STRUCTURE

● Zomato is betting on businesses like Blinkit for the next phase of growth

● As they continue to be scaled up, both B2C and B2B businesses are expected to contribute to profits in the coming years



SOURCE COMPANY REPORTS

red—for FY23, on a consolidated basis, income stood at ₹8,265 crore while the net loss was at ₹4,179 crore; the food delivery business turned Ebitda positive. The space is effectively a duopoly. Ranjan says there aren't too many identifiable niches in food delivery, and the differentiator is order or customer experience. The rub for most customers is the hidden or incremental charges. For instance, in the US, for a \$15 pizza, you end up paying upwards of \$40 by the time it is delivered. As a solution, Zomato Gold, that offers free deliveries, was relaunched in India in January 2023 (with an introductory price of ₹149 for three months). "Customers don't like the friction of delivery charges. From a business point of view, it was a difficult decision, though we have seen a spike in order frequency by 2-3x," says Ranjan. Though this impacted profits, he says Gold is "margin dilutive but not margin negative". In the past, Gold was a dining-in property where discounts were offered at certain restaurants. The insight was that customers wanted a 2.5-3x return on investment. So, the amount saved with Gold is visible on the app. It seems to be working. He says 40% of the gross order value today is on account of Gold customers.

"Look at the number of players in food delivery who have come and gone. There are just two left today and even Dunzo with Reliance's backing has not found it easy," says Vinit Bolinjar, Head (Research) at Ventura Securities. Zomato, with a war chest of ₹8,000-10,000

crore, he feels, can look at more acquisitions. "There are massive adjacencies it can move into. The online pharmacy business, setting up its own product label or creating a kitchen for its own food service are low-hanging fruits," he adds. One big advantage is its access to consumer data. "With that, pursuing any opportunity is possible."

The recent hike in take rate (the commission that Zomato charges from restaurants for an order) during the New Year saw little impact on the business. "Demand was huge, and volumes took off. The game is really about a gradual increase in business," says Bolinjar. After the buyout, Blinkit has scaled up and time has gone into building efficiencies, he says. "It is now clearly structured for growth." Zomato's recent forays into live entertainment and getting the nod to operate an online payments aggregator business could also strengthen the overall consumer piece, say experts.

What Zomato may not have is a very compelling story about the origin of its name. Earlier called Foodiebay, someone alerted Goyal of a potential issue since the last four letters could be mistaken for eBay. "We finally zeroed in on Zomato after name generators threw it up," he says. Maybe not that interesting a story, but customers and investors certainly seem interested, especially as Zomato looks to get it right on value and convenience. **BT**

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